

Marvell Technology, Inc.

MRVL NASDAQ

Buy	\$210.91 ▼ 2.64%	12M Price Target \$260.00	52-Week Range \$61.44 – \$329.88	Market Cap \$189.54B
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MRVL: AI Custom Silicon Story Intact Despite Pullback

WHAT HAPPENED

- MRVL dropped 12% over four sessions (\$245 → \$211), and the timing tells you the story — Nvidia just announced a \$3.5B investment in MediaTek and a new NVLink Fusion partnership, which spooked investors who thought Marvell had a lock on being the "custom silicon alternative to Nvidia." Translation: the market is worried Marvell's moat just got smaller.
- The Google/TPU narrative is also weighing on the stock — analysts have been debating whether Google's in-house chip (TPU) squeezes Marvell out of that key customer. But notice the news flow today: two separate pieces calling this fear "misplaced" and floating a \$100B market cap thesis. The bulls are buying the dip.

WHY IT MATTERS

This selloff is more about narrative than fundamentals — nothing changed in Marvell's actual business over the last four days, but the AI custom-silicon competitive landscape got noisier. Here's the inference: when options flow is screaming bullish (call buyers outnumbering put buyers 3-to-1 at strikes ABOVE the current price) right into a selloff, that's usually smart money betting the fear is overdone. The \$230 September calls trading at 7.8x normal open interest means someone with real money thinks this bounces back fast — likely into the September earnings print. What it means for you: this looks like a sentiment washout, not a fundamental break, and history says these AI-name pullbacks get bought aggressively when the story is still intact.

POLICY & POLITICAL WATCH

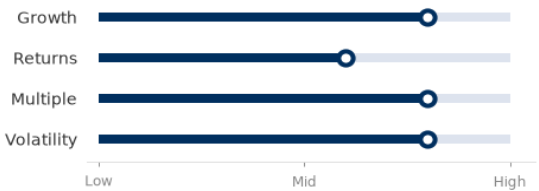
The CHIPS Act remains Marvell's biggest structural tailwind — they benefit from both direct manufacturing incentives and the broader push to onshore advanced semiconductor design, and the Trump administration has kept that funding largely intact despite earlier threats to claw it back. The bigger near-term watch is export controls: the administration is reportedly finalizing new restrictions on AI chip exports to China, and while that hurts Nvidia more, Marvell has meaningful China networking exposure (~15% of revenue) that could get pinched. Also keep an eye on the AI infrastructure executive order signed earlier this year — it's driving federal data center buildouts where Marvell's optical DSPs and custom silicon are core components, which is a slow-drip tailwind most people aren't pricing in.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$210.91
12M Price Target	\$260.00
Upside / (Downside)	+23.3%
Market Cap	\$189.54B
FY2026E Revenue	\$8,200M
FY2027E Revenue	\$10,500M
FY2026E EPS	\$2.75
FY2027E EPS	\$3.90
Fwd P/E	76.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$235.00	\$220.00	\$195.00
6 Months	\$275.00	\$245.00	\$180.00
1 Year	\$320.00	\$260.00	\$165.00
2 Years	\$400.00	\$300.00	\$150.00
5 Years	\$600.00	\$425.00	\$180.00
10 Years	\$900.00	\$600.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2% today) is catching a bid on Middle East tension and steady oil demand; Tech is still the 5-day leader (+3.2%) because AI capex commentary keeps beating expectations.

COOLING OFF: Consumer Staples (-2.8% over 5 days) and Healthcare (-2.4%) — classic defensive rotation OUT, which usually means institutional money is going risk-on, not risk-off. That's actually bullish for MRVL despite today's drop.

ROTATION WATCH: Money is flowing from defensives into cyclicals and AI plays as recession fears fade — the fact that tech held up over five days while MRVL specifically got hit tells you this is a stock-specific story, not a sector story.

RELATED PLAY: If you like the AI infrastructure theme but want lower volatility, look at Broadcom (AVGO) — same custom silicon story, more diversified, less binary. Optical networking names like Lumentum (LITE) also benefit from the same data center buildout.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Winning because they own the Google TPU relationship investors are worried about with Marvell — it's a zero-sum narrative right now.
- NVDA (Nvidia): Still the dominant AI winner, and today's MediaTek deal expands their ecosystem — which is exactly why MRVL is down.

MRVL CONTEXT: MRVL is lagging its AI peers badly this week, which usually creates a mean-reversion setup if the fundamentals hold. When a stock in a strong sector underperforms on narrative not numbers, the September earnings print becomes the catalyst — either it confirms the fears (and you get more downside) or it invalidates them (and you get a violent snapback).

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$200-210 on pullbacks; add aggressively under \$190

Time Horizon: 12-24 months

Thesis Invalidation: Loss of Amazon Trainium or Google Axion custom silicon contract, or AI capex cycle rolling over

Hedging: Pair with short position in higher-multiple AI names (AVGO or ARM) or buy protective puts